TrendKart

Business Insights & Management Recommendations

Profitability Leakage Analysis | Excel Dashboard Project

1. Executive Summary

TrendKart generated approximately **92.27 lakh in sales** and **18.29 lakh in profit**, producing an overall profit margin of **19.82%.** The dashboard shows that sales scale and profitability are related but not interchangeable. The most important investigation areas are the strong association between discount intensity and lower margin, the unusually high return rate for Handbags, and differences in regional margin efficiency.

The dashboard is designed around the BRD's central question: where potential profitability is being reduced despite sales activity, and which business areas require management attention.

2. Executive KPI Snapshot

KPI	Value	Management meaning
Total Sales	92,27,180	Overall commercial revenue
Total Profit	18,28,722	Overall profitability
Profit Margin	19.82%	Profit relative to sales
Total Orders	3,000	Transaction-record volume used in dashboard
Return Rate	4.87%	146 returned records / 3,000 records

3. Sales & Profitability Trend

Finding: October 2024 is the strongest month in the displayed period, with approximately **15.19 lakh sales** and **3.05 lakh profit**. January 2025 is the weakest month by sales, at approximately **3.05 lakh**, with approximately 0.56 lakh profit.

Business implication: Monthly performance should be evaluated using both sales and profit. A strong sales month is commercially attractive only when profitability remains healthy.

4. Product & Category Performance

Women Sarees is the largest category by sales at approximately **11.03 lakh**, followed by **Handbags (9.94 lakh)** and **Watches (9.38 lakh)**.

The top product in the current product ranking is **GRT Jewellers Sling Bag Olive**, generating approximately **4.83 lakh sales** and **1.15 lakh profit**.

Management implication: High-revenue products and categories should be evaluated alongside profit contribution. The dashboard is intended to identify situations where revenue scale may not translate into proportionate profitability.

5. Discount & Profitability Leakage

Discount	Profit Margin
0%	28.45%
5%	25.14%
10%	21.52%
15%	16.85%
20%	12.84%
25%	7.95%
30%	3.95%

The aggregated results show a strong downward association between discount level and profit margin: margin falls from **28.45%** at 0% discount to **3.95%** at 30% discount.

Important interpretation: this is an association in the observed data, not proof that discounts cause lower profitability. Management should investigate product mix, cost structure, channel, category and transaction characteristics before changing discount policy.

6. Return Pattern

There are **146 returned records out of 3,000 transaction records**, giving an overall return rate of approximately **4.87%** under the dashboard methodology.

Handbags is the major return-rate outlier: 58 returned transactions out of 205 transactions, giving a return rate of approximately **28.29%**.

Management implication: Handbags should be prioritized for investigation. Possible business explanations should be tested using return reasons, product details, customer feedback or operational data where available. The dashboard does not establish the cause of the returns.

7. Regional Performance

Region	Sales	Profit Margin
South Zone 1	44.63 lakh	19.74%
South Zone 2	25.55 lakh	19.55%
South Zone 3	22.09 lakh	20.28%

South Zone 1 contributes the highest sales, while South Zone 3 has the highest profit margin. This demonstrates the BRD's point that sales contribution and profitability efficiency should be analyzed separately.

8. Sales Channel Insight

Offline contributes approximately **60.49 lakh (65.56%)** of sales, while **Online** contributes approximately **31.78 lakh (34.44%)**.

The two channels have very similar profit margins, so the dashboard uses a sales-share visual rather than adding a redundant channel-margin chart.

9. Priority Management Actions

Priority	Recommended action	Reason
1	Investigate Handbags returns	Handbags have the highest return rate (28.29%), significantly above other categories. Review product quality, sizing, and customer feedback.
2	Review high-discount transactions	Profit margin declines sharply as discount levels increase (28.45% → 3.95%). Reassess discounting strategy and ensure discounts are targeted and justified.
3	Protect profitable high-volume products	Top-selling products generate strong revenue and profit contribution. Ensure adequate inventory, visibility, and marketing support.
4	Study South Zone 3 practices	South Zone 3 has the highest profit margin (20.28%) despite lower sales than South Zone 1. Analyze its store practices and identify strategies that could be replicated.
5	Validate transaction identifiers	5 duplicate invoice numbers exist in the dataset. Validate and treat unique transactions carefully before using invoice numbers for formal order counts or KPIs.
6	Extend customer/product analysis	Use membership, gender, material, size/color, and employee or target data where supported to identify additional growth opportunities and underperforming segments.

10. BRD Alignment & Interpretation Guardrails

The BRD requires management-focused analysis covering overall performance, profitability leakage, product/category performance, store/region performance, channel performance, returns and customer segments. The current dashboard addresses these areas through KPI cards, seven core visuals and connected slicers.

The BRD also requires that observed relationships be described as associations unless causality is demonstrated. Accordingly, the discount finding is presented as an association rather than a causal claim. Return-rate methodology is based on the available Return Status definition and should be validated if the business definition changes.

Other BRD areas—including detailed employee contribution, supplier context, target achievement and dedicated size/color analysis—can be treated as future extensions where the available data and business definitions support them.

11. Conclusion

TrendKart's dashboard demonstrates that strong commercial performance should be assessed through both revenue and profitability. The most actionable signals are the decline in aggregated margin at higher discount levels, the exceptional return rate in Handbags, and the difference between regional sales scale and margin efficiency.

These findings should guide management toward targeted investigation rather than unsupported causal conclusions. The dashboard therefore functions as a decision-support tool: it highlights where to look next, while preserving the distinction between observed patterns and proven causes.